Pepsodent Premium Business Intuition and Case Analysis

An extended reading guide to customer decisions and the economics behind downtrading

29 October 2026

1 Pepsodent may be retaining trust while losing the reason to upgrade

The strongest preliminary interpretation is that Pepsodent has a problem sustaining the incremental value of its Premium tier among young adults. Consumers can continue trusting and buying the brand while deciding that Basic is the better use of their money. That makes this primarily a question of the fit between the premium offer and the customer's purchasing logic, with consequences for profitability and future brand relevance. A communication problem is one possible component, rather than an established explanation of the whole case.

The important business question is: when a former Premium shopper reaches the next real purchase, what makes Basic the better decision, and what evidence distinguishes affordability, weak relevance, disappointing experience, and an unconvincing additional benefit?

Three evidence labels apply throughout this guide. **Case fact** means information supplied in the competition brief, including its illustrative survey figures. **External context** means a separately sourced statement, with its own geography, period, and limitations. **Hypothesis** means a plausible mechanism that still needs investigation. Customer portraits are explicitly fictional illustrations, not interview findings or estimates of segment size.

What the brief establishes

Premium's share of Pepsodent sales falls from 27 percent in 2022 to 20 percent in H1 2026. The brief attributes this to movement toward Basic, led by young adults, while household reach remains broad. The change is seven percentage points, or approximately a 26 percent relative reduction in Premium's share. It is not a seven percent decline. The brief does not clearly establish whether every reference to sales means revenue, units, or another measure. [1, pp. 5–8]

Among 540 switchers, 44 percent say toothpastes do about the same thing, 39 percent cite the price gap when money is tight, 31 percent could not feel a difference in two weeks, 28 percent mention Basic promotions or bundles, and 24 percent do not know which variant fits them. These are multiple responses, so the groups overlap. The figures describe reasons within the supplied case and cannot be added into a causal allocation of lost sales. [1, p. 7]

The brief also reports interest in visible whitening and freshness at 52 percent, expert evidence at 41 percent, and smaller, cheaper trial packs at 37 percent. Those are stated preferences, not

committed purchases or predicted uplifts. The base for this panel is less explicit than the 540–switcher base for the reasons chart. Digital figures concern discovery of new personal-care products, not necessarily toothpaste purchase or repeat. [1, pp. 7–8]

The brief's 41 percent purchase-consideration ranking and 54 percent oral-care sales share in official stores on three marketplaces concern different measures and populations. Neither is an all-channel national market share or evidence of young-adult Premium loyalty. Strong topline brand indicators can coexist with a weak reason to upgrade. [1, p. 3]

Management may be concerned about the quality of growth

There are two commercially different risks. The immediate risk is dilution: shoppers remain in the franchise but buy a lower-value tier. The longer-term risk is that younger consumers inherit familiarity with Pepsodent without developing a durable reason to choose its specialized products.

Neither requires the company to be in crisis. Unilever Indonesia reports FY2025 net sales of Rp31.9 trillion, up 4.3 percent. Its H1 2026 release reports continuing-operations net sales of Rp16.9 trillion, up 7.1 percent, alongside a gross-margin decline of 168 basis points. These are company figures, not Pepsodent figures, and cannot establish that Premium downtrading caused the corporate margin change. They provide context for why management may care about growth quality as well as volume. [4; 5]

A case solver should therefore resist equating company growth with a healthy premium business. Aggregates can conceal weakness in a particular age group, variant, channel, or source of profit.

Why the concern may have become urgent now

The chart begins in 2022, so the problem appears cumulative. A recent event alone would be an incomplete explanation unless it also explains the earlier decline. The case does not provide a dated event study identifying one trigger.

Several internal forces could have accumulated: the price ladder may have become harder to justify; new variants may have increased choice complexity; promotions may have attracted buyers with low regular-price willingness to pay; or distribution may have expanded at brand level without adequate Premium availability. These are hypotheses, not known execution failures.

External forces could include pressure on discretionary budgets, more visible comparisons across sellers and pack sizes, and different routes through which young adults encounter personal-care claims. The case supports investigating these mechanisms, but does not prove a particular inflation shock or a universal change in Gen Z psychology.

Unilever's published oral-care strategy emphasizes therapeutic benefits, oral beauty, and sensory experience. Its Indonesian H1 2026 release also emphasizes younger-consumer relevance, social-first demand creation, and execution across physical and digital channels. This makes the case strategically timely: the company is pursuing value beyond basic cleaning while the supplied case shows young shoppers retreating from that value ladder. Corporate strategy establishes management intent; it does not establish consumer demand. [5; 6]

2 The business earns through repeat choice and execution across the value chain

Toothpaste is a replenishment business. A consumer may use it every day but buy only when the household's stock needs replacing. One successful purchase is commercially useful; a sequence of purchases at acceptable realized prices supports a durable business. Subscription-style assumptions about predictable individual monthly purchases would need evidence.

The basic value chain runs through formulation and benefit substantiation, ingredient and packaging procurement, manufacturing, distribution, retail execution, purchase, use, and replenishment. Different participants control different parts of the outcome.

Stage	Commercial role	Case question
Formulation and substantiation	Deliver a relevant benefit and support defensible claims	Which benefit does each Premium variant establish for which user
Procurement and manufacturing	Control unit cost quality and capacity	What changes when pack size variant count or volume changes
Distribution	Make the right SKU available economically	Does broad Pepsodent reach include the relevant Premium variant
Retail and ecommerce	Convert demand through assortment visibility and price	What does the shopper actually see and pay
Use and replenishment	Determine experience and subsequent choice	What survives after trial and after the promotion ends

Shelf price does not equal manufacturer revenue

The amount paid at checkout is not automatically the manufacturer's revenue. Depending on the channel and contract, taxes, retailer and distributor economics, discounts, trade support, marketplace fees, and other deductions may sit between them. Their precise accounting treatment varies. The brief does not provide that bridge.

Likewise, gross margin is not final profit. Formulation and packaging costs matter, but so do distribution, advertising, trade investment, sampling, account support, and the cost of serving a more complex assortment. Do not subtract a promotional cost twice if it has already been included in net revenue or contribution.

The useful commercial question is whether the additional contribution from Premium exceeds the Basic contribution displaced and the additional costs of generating that behavior. A move within the brand is not an entirely new sale. A move from a competing company is different from a move from another Unilever brand.

Closeup appears alongside Pepsodent in Unilever's own oral-care portfolio. Consequently, a Pepsodent initiative that wins purchases from Closeup may create less incremental corporate

value than one that wins genuinely additional demand or share from an outside company. This is a boundary to examine, not evidence that such cannibalization is occurring. [6]

What outsiders often miss about execution

Consumers can only choose among products actually available when they shop. A popular brand can still lose a particular purchase because the relevant variant is missing, hard to identify, or offered at an unexpected price. Distribution measured at brand level can hide these problems.

Retailers also have their own economics. They may prefer products that turn quickly, support baskets, and use shelf space productively. A Basic bundle may be attractive to a retailer even when it works against the manufacturer's Premium mix objective. No specific retailer agreement is supplied in the case.

More variants can cover more needs while increasing forecasting difficulty, packaging requirements, slow-moving inventory, and working capital. The company cannot assume that every extra SKU or pack creates net value merely because some customers express interest.

Companies in this kind of business succeed when relevant benefits, credible expectations, consistent experience, convenient availability, and sustainable economics reinforce one another. A strong result in only one of these areas can be insufficient. Excellent advertising cannot compensate indefinitely for an offer that fails the next replenishment decision.

3 The price ladder reveals several different affordability problems

The example prices are unusually informative because tube sizes differ. Basic is a 190g tube at Rp24,100. Sensitive Expert is a 100g tube at Rp41,900, with a promotional example at Rp23,500. These are case examples, not average realized prices across the portfolio. [1, p. 5]

Measure	Basic	Premium regular	Premium promotion
Tube size	190g	100g	100g
Shelf price	Rp24,100	Rp41,900	Rp23,500
Price per 100g	About Rp12,684	Rp41,900	Rp23,500
Relative price per gram	1.00 times	3.30 times	1.85 times

At the regular price, Premium costs about 74 percent more at checkout while providing about 47 percent fewer grams. Its price per gram is about 230 percent higher. During the promotion, Premium becomes slightly cheaper at checkout than Basic, yet its price per gram remains about 85 percent higher.

Business intuition: a product can be affordable to acquire once and expensive to keep using. The consumer who tries the discounted tube and returns to Basic may have understood the offer perfectly.

Three barriers can produce the same price objection

The first barrier is liquidity: the shopper cannot comfortably make the payment today. The second is ongoing value: they can afford the tube but reject the additional cost over repeated purchases. The third is downside risk: they hesitate to spend more because the improvement is uncertain.

A smaller trial pack primarily changes the initial commitment. It does not automatically improve ongoing price per gram, demonstrate a benefit, or establish regular-price repeat. Smaller packs can also carry higher packaging cost per gram. The size of that effect depends on the actual packaging and production economics.

It is equally important to distinguish inability to pay from unwillingness to pay. A young worker might afford Premium but prefer to preserve money for transport or rent. Calling that consumer uneducated would obscure the actual trade-off.

Premium mix matters without proving an absolute sales decline

If the case's mix is revenue-based, and if the example gross margins of 55 percent for Premium and 38 percent for Basic represent their tiers, a two-tier weighted calculation gives 42.59 percent at a 27 percent Premium mix and 41.40 percent at a 20 percent Premium mix. The mechanical difference is 1.19 percentage points, holding all other drivers constant. This is illustrative, not an estimate of reported Pepsodent margin.

Share alone also cannot establish absolute Premium revenue decline. Across comparable periods, moving from a 27 percent share to a 20 percent share would leave Premium revenue unchanged if total brand revenue increased by 35 percent. This is arithmetic, not a claim about actual growth between a full year and a half year. Comparable periods and metric definitions are essential.

Promotions can require much more volume to preserve profit

In a hypothetical example, a product has realized revenue of 100 and variable product cost of 45, leaving gross profit of 55. If realized revenue falls to 56 and that cost stays unchanged, gross profit becomes 11. Five units are then needed to match the original unit's gross profit before other changes.

This is not a reconstruction of Unilever's actual promotion. The shelf discount, manufacturer's funding share, tax basis, cost behavior, and supplied gross-margin definition are not known. Its purpose is to teach the asymmetry: a large price cut can remove a much larger proportion of profit than of revenue.

Promotional volume can also borrow purchases from future periods. If shoppers buy several tubes, subsequent sales may fall because their inventory is higher, even if consumption and satisfaction have not changed. A post-promotion dip is therefore not automatically evidence of failed product experience.

4 Customer decisions become clearer when we reconstruct the purchase occasion

A useful customer window begins with a recent decision, not a demographic stereotype. Ask what ran out, who noticed, who paid, what alternatives were available, what price was actually paid, and what happened afterward. The following portraits are fictional illustrations of distinct mechanisms. They do not establish that these segments exist at scale, and their ages do not predict their behavior.

The student who prefers Premium but uses the family tube

Imagine a 21–year-old student who encounters whitening content and thinks a specialized toothpaste sounds appealing. A parent buys toiletries during the household shop. The family already has an open Basic tube and another in the cupboard. The student's interest does not immediately become a purchase because there is no replenishment occasion and the student does not control the basket.

The purchase logic is household economy and stock availability. The relevant competing expenditure may be ordinary household shopping rather than another beauty product. Calling this a failure of digital persuasion would confuse interest with authority and timing.

There is a further price nuance: the student's personal comparison may be paying for a separate Premium tube versus using a household-funded tube at no additional personal payment. The student's effective out-of-pocket alternative is therefore different from the two shelf prices in the brief.

What would distinguish the mechanism? Reconstruct the last actual toothpaste purchase, identify the payer, and inspect whether a preferred variant was requested, refused, postponed, or never discussed. We do not yet know whether the student would choose Premium when buying independently.

The first jobber who can pay but dislikes the replacement cycle

Imagine a 24–year-old worker buying toiletries independently. A Premium promotion makes the tube's price manageable. They like the taste and notice no major problem, but later realize that replacing a 100g tube at regular price feels costly compared with a larger Basic tube. Housing and transport take priority in their budget.

The mechanism is a recurring value comparison, not necessarily product dissatisfaction. The moment of rejection may occur at the second purchase, when the promotional anchor disappears. A smaller trial pack would not necessarily address that ongoing trade-off.

The revealing evidence is the paid price and choice at the next replenishment, alongside competing expenses. Ask what they bought after the trial tube, whether the regular price surprised them, and whether they considered another Premium seller. We should not infer that every early-career worker has this constraint.

The sensitivity user who stops after feeling better

Imagine a 27–year-old who buys a sensitivity variant when cold drinks become uncomfortable. The discomfort improves. At the next purchase, they choose familiar Basic because the immediate reason for spending extra has receded. They interpret the specialist product as an occasional response rather than a permanent daily choice.

This customer might be satisfied with Premium and still stop buying it. Aggregate churn would then conceal a different mechanism from disappointment. Whether continued use is appropriate depends on product-specific evidence and professional guidance; the portrait is about the consumer's decision logic, not clinical advice.

The useful interview reconstructs symptom timing, product use, perceived relief, and subsequent purchase. The hypothesis weakens if the person reports no relief or switched before any perceived improvement. It also weakens if most switchers never had a relevant sensitivity concern.

The appearance motivated shopper who reallocates the budget

Imagine a 23–year-old who cares strongly about how their teeth look. They try a Premium toothpaste but decide that Basic is sufficient for everyday cleaning. They allocate extra money to another oral-care product or a professional service they consider more directly connected to the desired outcome.

From Pepsodent's viewpoint, this looks like downtrading. From the consumer's viewpoint, it could be a more deliberate allocation of a stable or larger oral-care budget. Interest in an outcome does not imply that toothpaste is the preferred delivery format.

Ask what else they purchased around the switch and which outcome each purchase was intended to deliver. The mechanism is weakened if total oral-care expenditure simply falls and no substitute is used. We cannot assume substitute effectiveness from the consumer's belief.

The convenient shopper whose preferred variant is absent

Imagine a 29–year-old who previously bought Premium and intends to buy it again. Their usual store has Pepsodent Basic but not the exact Premium variant. They choose Basic to finish the errand, then continue using it because it is satisfactory and easy to find.

This begins as an availability problem and can become a habit problem. A respondent may later explain the switch as value for money, even though the first interruption occurred at the shelf. Recalled reasons are useful but do not always reconstruct the full sequence.

The discriminating evidence is the last store visit, the exact SKU sought, observed shelf availability, and willingness to search elsewhere. If the variant was consistently stocked and deliberately rejected, weak availability is less persuasive. Broad Pepsodent penetration cannot settle the question.

The successful customer who shares the tube with someone else

Imagine a 26–year-old with a specific need who shares toiletries with a partner. One person experiences the benefit; both consume the product. The household compares the recurring cost of a specialized tube with a Basic tube that seems adequate for the partner.

The friction is a mismatch between who benefits and who contributes to consumption or payment. Individual willingness to pay can differ from the household's willingness to pay for a shared product. This is distinct from the student portrait, where purchasing authority was the main barrier.

Investigate who uses each tube, whether needs differ, and who decides on replacements. The explanation weakens when people buy and use separate tubes without objection. Sharing arrangements must be observed or reported, not assumed from marital status.

5 Industry insights explain why obvious answers can disappoint

Frequent use creates fewer purchase opportunities than it appears

The insight is that daily brushing and buying toothpaste operate on different clocks. Households may also hold spare tubes. Communication exposure can therefore precede purchase by some time. A short observation window may miss later conversion, while an immediate sales spike may represent stockpiling.

For this case, the implication is to distinguish exposure, purchase, consumption, and replenishment. The relevant evidence is a purchase sequence, not an assumed monthly frequency. This mental model also applies to detergents, skincare, and other products bought less often than they are used.

Basic can make downtrading feel safe

Brand trust extends across the portfolio. If Pepsodent stands for dependable protection, Basic may inherit enough of that confidence to become a low-risk fallback. A consumer can preserve loyalty while rejecting the upgrade. This is why improving brand consideration alone may leave Premium's share unchanged.

The strategic question becomes the incremental benefit over the trusted Basic option. It also creates a portfolio constraint: Premium should not require the company to portray its important Basic franchise as inadequate. The actual degree of trust transfer remains a hypothesis to investigate.

Premium variants solve different jobs

Sensitivity relief, stain removal, freshness, and ingredient preferences do not have identical buyers, proof requirements, or evaluation periods. A financial tier can conceal several consumer markets. The case's appearance-related preferences cannot automatically validate a sensitivity-led proposition.

This happens because willingness to pay depends on a need's relevance, severity, and alternatives. Later analysis should examine variant-level behavior before treating Premium dissatisfaction as one uniform phenomenon. The point is not that every SKU needs a separate strategy; it is that aggregation should follow evidence rather than hide it.

Evidence and felt experience serve different roles

Some benefits are immediately experienced, while others require time or are hard to attribute. Fluoride's preventive function and additional ingredients addressing other needs are distinct benefit claims in the ADA's explanation of toothpaste. That category evidence does not establish the efficacy of any particular Pepsodent product. [7]

The 31 percent who felt no difference in two weeks could reflect poor fit, expectations, use conditions, limited observability, or inadequate performance. Automatically blaming awareness protects the proposed marketing answer from scrutiny. The business implication is to identify what the person expected to notice and whether that expectation matched the product.

Discovery does not identify the buyer or the purchase channel

Someone can discover a product on TikTok, compare prices online, and buy in a minimarket. The case's personal-care discovery figures therefore cannot allocate toothpaste sales or establish channel profitability. Unilever's Indonesian release discusses social demand creation alongside general-trade availability and modern-trade execution, supporting attention to both demand and access. [1; 5]

For later decisions, assign each channel an evidenced role. Reach, consideration, conversion, and repeat have different denominators. A platform's reported transactions also need an incrementality check before they become business value.

Health need and premium demand are separate questions

Poor oral health establishes a public-health concern, not automatic demand for a more expensive tube. Outcomes also depend on habits, appropriate products, diet, and access to care. A suitable basic product can still have value; specialized incremental benefits require their own justification.

The brief uses the historical 2.8 percent brushing statistic from 2018. The official SKI comparison reports 6.2 percent in 2023 for the recommended timing measure, including after breakfast and before bed. This should not be described as direct observation that everybody else uses incorrect technique. [8]

The strategic implication is to track education exposure, knowledge, behavior, Premium purchases, and clinical outcomes separately. None automatically proves another. A socially useful activity may have weak Premium economics; a profitable promotion may produce little health improvement.

6 Distinct hypotheses expose mechanisms that the headline numbers can hide

The mentoring notes emphasize specificity, an arguable alternative, and a direct connection to the business decision. A useful hypothesis therefore names a customer, a situation, a mechanism, and an observable consequence. The opposite test helps remove generic statements, but surprising wording does not make a claim true. An ordinary affordability problem can still be commercially decisive. [2, pp. 2–5; 3, sections 4–6]

The hypotheses below are alternatives and possible interactions, not a mutually exclusive allocation of causes. They should not all appear as conclusions in a competition storyline. Their purpose is to expose what would have to be true before selecting a solution.

The evidence is uneven. H1, H2, H5, and H6 are exploratory mechanisms without direct verification in the brief. H3, H4, H7, H8, H9, H10, and H11 connect to contextual clues such as promotions, reach, target age, trial dissatisfaction, and choice uncertainty, but none has established causality. H12 is especially speculative because internal scorecards are not supplied. Twelve hypotheses do not mean twelve equally likely problems.

H1 Premium may work and thereby remove the immediate reason to repurchase

Mechanism. Some shoppers may interpret a specialist toothpaste as an occasional response to discomfort. Perceived relief reduces the urgency of paying more, even when the product experience was positive. The mechanism is consumer interpretation, not a claim about the correct clinical use of any variant.

Prediction. Some switchers should report improvement before returning to Basic, and Premium purchases may cluster around perceived symptom episodes. Their satisfaction could remain relatively high despite low repeat.

Rival and disconfirmation. Dissatisfied trials also produce low repeat. This hypothesis weakens if switching precedes improvement, if users never had the relevant need, or if satisfied users continue buying consistently.

Decision consequence. The meaning of retention changes. A generic satisfaction campaign would fail to distinguish episodic use from disappointment. Ask for the sequence of symptoms, use, perceived change, and replacement purchase before interpreting churn.

H2 Household sharing may make an individually valuable benefit poor household value

Mechanism. A specialist benefit may matter to one person while several people consume the same tube. The household bears the higher recurring cost across users whose needs differ. A 100g Premium tube compared with a 190g Basic tube makes this possibility especially relevant.

Prediction. Premium repeat may be weaker among shared-tube households with uneven needs, even when the intended user values the product. Discussions may focus on how quickly it runs out or who should pay.

Rival and disconfirmation. Low income alone could explain the same pattern. The hypothesis weakens if sharing adds no explanatory value after need and budget are considered, or if households use separate tubes without friction.

Decision consequence. Individual willingness to pay cannot be extrapolated directly to household demand. The unit of analysis must include actual consumption and payment arrangements.

H3 Apparent churn may be a promotion cohort returning to its usual tier

Mechanism. Deep discounts can recruit shoppers whose normal preference was always Basic. When the price returns, their purchase reverts. Management could mistake a change in the composition of Premium buyers for a broad deterioration in established customer loyalty.

Prediction. First-time buyers acquired at deep discounts should have weaker regular-price repeat than first-time buyers acquired nearer regular price, comparing similar variants, channels, periods, and needs. Separately examine established buyers to see whether their behavior also deteriorates. Aggregate retention may fall as the proportion of promotion cohorts rises.

Rival and disconfirmation. A genuine performance problem could affect every cohort. This explanation weakens if established regular-price buyers deteriorate similarly or promotion exposure does not predict later behavior.

Decision consequence. Separate who was acquired, at what price, and when from what happened after acquisition. Otherwise the business may keep funding trial while misdiagnosing the resulting low repeat as insufficient awareness.

Even a matched observational comparison would not by itself prove that discounting caused poor retention. It may reveal the types of buyers who selected into the offer. Distinguishing selection from an effect of the promotion requires a stronger comparison design.

H4 SKU availability may interrupt Premium habits while brand availability looks healthy

Mechanism. Pepsodent's broad distribution may mainly reflect Basic. Missing Premium variants, inconsistent stock, or limited visibility can trigger a fallback purchase. A satisfactory Basic experience then reduces motivation to search next time.

Prediction. Switching should cluster around specific stores or channels with weak exact-SKU availability. Some consumers should report intended Premium purchases that became Basic purchases at the shelf.

Rival and disconfirmation. Retailers may reduce stock because demand already weakened, creating reverse causality. Consistently available variants that shoppers deliberately reject weaken an availability-led explanation.

Decision consequence. Brand penetration is an inadequate proxy for Premium access. Diagnose the sequence using customer episodes and store evidence before attributing the behavior to persuasion or distribution alone.

H5 Downtrading in toothpaste may coexist with higher spending on the desired outcome

Mechanism. A young adult may use Basic for routine cleaning and allocate the incremental budget to another product or professional service. They may care strongly about oral appearance or health while rejecting Premium toothpaste as the best route to that outcome.

Prediction. Some switchers should maintain or increase total oral-care spending while reducing spending on toothpaste. Their explanations should identify an alternative they believe delivers the desired benefit more directly.

Rival and disconfirmation. Broad financial pressure predicts reductions across the budget. This hypothesis weakens when no substitute is bought and total spending simply contracts. Consumer belief does not establish the substitute's effectiveness.

Decision consequence. Define competition around the customer's desired outcome as well as the toothpaste shelf. A finding that young adults care about whitening is not enough to establish which format can capture their spending.

H6 Family protection credibility may not transfer fully to specialist authority

Mechanism. Familiarity can make Pepsodent feel safe for everyday use without making its specialist products the preferred choice at a premium price. The same household reputation that protects Basic could leave an unresolved question about why the brand deserves specialist pricing.

Prediction. A consumer may trust Pepsodent overall yet prefer another brand or format when a specific concern becomes important. The gap would be between general trust and benefit-specific credibility.

Rival and disconfirmation. Price or distribution may explain the choice even when specialist credibility is strong. The hypothesis weakens if Pepsodent's Premium credibility equals alternatives and shoppers still choose solely on economics.

Decision consequence. General brand equity and authority for a particular benefit require separate measurement. A broad popularity ranking cannot resolve the specialist choice.

H7 The evaluation rule may be borrowed from beauty while the variant delivers another benefit

Mechanism. Consumers interested in visible whitening or freshness may evaluate a Premium trial using those signals even if they selected a variant intended mainly for a different need. The umbrella label Premium can encourage an expectation of an obvious all-round upgrade.

Prediction. Some disappointed users should expect outcomes not central to the variant they used. Stated success criteria would differ from the product's substantiated promise.

Rival and disconfirmation. Consumers may understand the exact promise and still experience insufficient benefit. The hypothesis weakens when expectations match the variant and disappointment remains.

Decision consequence. Investigate the expectation before adding more claims. A selection or expectation problem has different implications from poor performance of the promised benefit.

H8 Entering independent purchasing may reveal a price previously hidden by parents

Mechanism. A young adult may use Premium while living in a household where someone else pays. Starting independent purchasing exposes its recurring cost and makes a larger Basic tube attractive. The brand has not necessarily become less appealing; the decision-maker's budget boundary has changed.

Prediction. Switching may cluster around moving out, starting a job, forming a household, or taking responsibility for toiletries. Prior users may be unable to recall what Premium cost when someone else bought it.

Rival and disconfirmation. Cohort differences or channel changes could coincide with these events. This hypothesis weakens if stable independent purchasers show the same change without altered budgets or responsibility.

Decision consequence. Age alone may hide a transition in purchasing authority. Distinguish use inherited from a household from a consciously chosen paid preference.

H9 The promotional price may become the reference price against which regular pricing feels unreasonable

Mechanism. Repeated large discounts may teach shoppers that a premium tube is fairly priced near the promotional level. A regular-price purchase then feels like avoidable overpayment. Consumers can value the product while waiting for a deal or choosing Basic between deals.

Prediction. Some shoppers should remember the deal price more readily than the regular price and time purchases around promotions. They may remain willing to buy Premium at that reference price.

Rival and disconfirmation. Simple liquidity limits can create similar behavior. The hypothesis weakens when consumers with little promotion exposure reject the same regular price for identical reasons, or when they do not remember or seek deals.

Decision consequence. Observed promotional demand may reflect willingness to pay for a different price architecture. Do not interpret it as proof that the regular-price proposition is healthy.

H10 Premium sales may be undercounting use because consumers buy across sellers or use stock

Mechanism. Stockpiling changes the timing of purchases, and channel-specific records may miss purchases elsewhere. A temporary drop in purchases in one dataset may be interpreted as a loss of consumption or preference.

Prediction. Some apparent dropouts should still have Premium at home, use it regularly, or purchase through another channel. Observed churn should shrink when the measurement window or coverage improves.

Rival and disconfirmation. True downtrading remains the brief's stated complication. This hypothesis weakens when cross-channel, adequate-window records and customer histories confirm replacement with Basic.

Decision consequence. Check measurement before assigning all observed decline to behavior. This hypothesis challenges the estimated extent or location of the problem; it does not erase the case's stated downtrading premise.

H11 More information may increase comparison difficulty instead of resolving uncertainty

Mechanism. Multiple benefit names, ingredients, packs, and overlapping claims can make the premium choice harder than choosing familiar Basic. Someone with moderate interest may choose a satisfactory default rather than spend time deciding.

Prediction. Consumers should understand individual claims yet struggle to compare variants or select one. Choice difficulty may rise with assortment exposure and be concentrated among shoppers with less specific needs.

Rival and disconfirmation. Low interest or an unacceptable price could be the real barrier. The hypothesis weakens if shoppers identify the right variant easily and reject it for a clear economic reason.

Decision consequence. More education is not automatically better decision support. The relevant unknown is whether shoppers lack information, cannot compare it, or do not value the resulting choice enough to proceed.

H12 Local performance targets may reward the behavior that weakens Premium economics

Mechanism. If account or campaign teams are rewarded mainly for short-term volume or transactions, frequent promotions and broad sampling may appear successful even when regular-price repeat is weak. Each function can achieve its local target while the overall business develops poor acquisition economics.

Prediction. Internal scorecards would emphasize sell-in, promotional volume, reach, or transactions more than incremental contribution and subsequent paid repeat. Campaign success could coexist with unfavorable cohorts.

Rival and disconfirmation. The company may already use rigorous contribution and retention measures. If aligned scorecards are present and followed, the stronger explanation may lie in consumer economics or execution rather than incentives.

Decision consequence. Organizational mechanisms belong in the diagnosis when supported. This hypothesis is more speculative than the case-backed value concerns because no internal targets or processes are supplied.

How the hypotheses can interact

A possible sequence is that a discount recruits a shopper with an imprecise need, the shopper selects a poorly matched variant, notices little difference, and faces a large price increase at replenishment. Basic then offers a trusted fallback. That sequence combines cohort composition, choice, experience, and pricing.

Another possible sequence begins with a genuine benefit: a shopper feels relief, interprets the need as resolved, and chooses Basic for the shared household. The same observed outcome, low Premium repeat, has a different meaning. These are candidate causal stories, not established customer journeys.

The useful task is to identify which sequence actually occurs, for whom, how often, and with what economic importance. Collecting more generic agreement with statements about quality or affordability would not settle that question.

7 Constraints and incentives determine which explanations matter commercially

Structural limits differ from changeable business problems

Consumers have finite budgets and limited attention. Benefits are not equally relevant to everyone, and some are difficult to observe. Retailers retain control over parts of assortment and execution. These are structural conditions to work within.

Other constraints may be changeable: unclear tier distinctions, inadequate variant selection, inconsistent stock, excessive promotion dependence, or poorly aligned internal measures. The case does not prove these failures. Budget, SKU economics, distribution, and retention data are also unknown; an unknown is not evidence of an absent capability.

Changing a pack or formulation involves operational lead times, packaging, capacity, forecasting, and claim implications. A small pack is not merely an image placed in a pitch deck. Increasing the number of offers can also tie up stock and retailer attention.

Expert evidence has a regulatory execution boundary

For products regulated as cosmetics, BPOM requires objective, accurate, supportable promotion and distinguishes education from cosmetic product advertising. Its published guidance restricts healthcare professionals appearing in product advertisements or creating an impression of recommendation. The Q&A describes doctor-led public-service education without showing a product brand, subject to its stated conditions. Actual execution depends on classification, content, and applicable requirements. [9; 10]

The business implication is specific: consumer interest in expert proof does not automatically authorize a dentist endorsement format. Evidence quality, claim wording, source credibility, and promotional execution are separate design questions. A later concept should not assume that putting a dentist into branded social content resolves trust.

Stakeholders may optimize different outcomes

Stakeholder	Likely commercial or professional concern	Conflict to investigate
Brand team	Relevance Premium growth and long-term brand meaning	Short-term acquisition may not create repeat
Sales and account teams	Volume availability and retailer relationships	Discounted volume may dilute realized value
Finance	Incremental contribution cash and return	Growth can cost more than it contributes
Retailers	Turnover category profit and basket value	Basic bundles may outperform Premium for their objectives
Product and regulatory teams	Performance quality and defensible claims	Consumer expectations can exceed the supported promise
Users and household payers	Benefits affordability and convenience	The persuaded user may not control replacement
Dental and public-health partners	Appropriate care and credible education	Premium sales are not their objective
Platforms and creators	Attention and transactions	Their metrics may not establish repeat or health value

These are typical incentives to investigate, not verified details of Pepsodent's current contracts or targets. They help explain why a business problem can persist without requiring any stakeholder to be irrational or incompetent.

Trade offs that cannot be wished away

Lower initial payments can broaden trial while weakening contribution or leaving recurring value unchanged. More variants can improve need coverage while increasing confusion and inventory. Stronger visible promises can increase attention while increasing disappointment and substantiation requirements. Promotions can move stock while weakening the regular-price reference.

Premium growth also competes with portfolio integrity. Making Basic appear ineffective risks damaging an important business. Winning an existing Basic buyer has different economics from winning an outside competitor's buyer. A socially useful intervention may benefit many people who are not appropriate Premium prospects.

The point is not to reject these routes in advance. It is to understand which metric improves, which cost or risk moves with it, and who bears that cost. A solution that hides the trade-off has not solved the business problem.

8 A disciplined diagnosis separates arithmetic from explanations

Begin with a financial bridge. Define Premium revenue as purchasing households multiplied by purchase occasions per household, grams per occasion, and realized revenue per gram, all within the same period and coverage. A units-based bridge is also possible if pack mix is handled consistently. Do not multiply frequency by total annual grams per household, which would count frequency twice. Aggregate revenue alone cannot reveal whether the change comes from fewer buyers, less purchasing per buyer, or lower realized prices.

Then examine consumer mechanisms. Need relevance, perceived incremental benefit, fit of the chosen variant, experience, budget, purchase authority, availability, and promotions can influence those arithmetic drivers. These behavioral themes interact; they are not automatically mutually exclusive just because they are arranged in a neat issue tree.

Use the six Ps as diagnostic questions

Dimension	Question before proposing an intervention
Product	Does this variant solve a relevant need with a supported benefit
Price	What price was actually paid and what happens at replacement
Place	Can the shopper find the exact variant during the actual trip
Promotion	Does activity create new demand shift timing or subsidize existing buyers
Positioning	Why should this buyer prefer this Premium variant over trusted Basic
Pack	How do payment size quantity duration and household use affect value

The framework is useful only when it changes what we investigate or decide. It does not provide six independent causes, and it is not evidence that six campaigns are needed. The mentoring notes' warning about framework dumping applies directly here. [2, pp. 4–7]

Reconstruct behavior before testing explanations

Ask a former Premium buyer to walk through the last three purchases. Which exact variant and size did they buy? What did they pay? Where did they buy it? Who used and funded it? What was the trigger? What did they expect to notice? What happened before the next purchase? Where possible, receipts or product photos can reduce recall ambiguity.

Then probe alternatives without leading. If they say price, ask what changed in the comparison and what they bought instead. If they say no difference, ask which difference they expected. If they say the product was unavailable, reconstruct whether they sought the exact variant or simply chose among visible options.

Avoid starting with would you buy a smaller pack or would you trust a dentist. Those questions can produce agreeable responses without identifying the original mechanism. If later concept testing

is needed, separate price, pack, benefit, channel, and evidence attributes rather than presenting one attractive bundle and attributing interest to every component. [2, pp. 5–6; 3, section 4]

Choose evidence that can actually distinguish the alternatives

Consequential uncertainty	Useful evidence	What it cannot establish alone
Budget limit or weak value	Actual purchases paid prices and competing expenditures	A price complaint does not prove inability to pay
Disappointment or episodic successful use	Sequence of needs expectations experience and next purchase	Satisfaction alone does not establish appropriate usage
Broad rejection or promotion cohort effect	Cohorts by first purchase price and subsequent behavior	Aggregate repeat does not isolate acquisition mix
Weak demand or missing availability	Exact-SKU store evidence with customer purchase episodes	Brand distribution does not establish variant availability
Oral-care retreat or spending reallocation	Spending and alternatives around the switch	Toothpaste spend alone misses other formats
Commercial or social impact	Separate purchase behavior and health-related measures	Reach and sales do not establish clinical benefit

No universal interview count establishes saturation, and an urban convenience survey does not become nationally representative because it is large. The best next evidence is the evidence likely to change a consequential decision. A small amount of discriminating information can be more useful than a much larger set of generic preferences.

9 Ten mental models to carry into future business cases

1 Additional value is measured against the accepted alternative

A product's benefits do not exist in isolation. Ask what the customer already gets from Basic and what changes with Premium. In another industry this might be a paid software tier compared with its free plan. The relevant hurdle is the improvement over the acceptable fallback, not the attractiveness of the feature list alone.

2 Willingness to pay changes with the situation

The same person can pay more during discomfort, reject the price after relief, and buy again on promotion. That does not necessarily reflect inconsistency. Need, budget, perceived alternatives, and urgency have changed. Segment decision situations as well as people.

3 The customer can be a household decision system

Users, payers, selectors, and influencers may differ. Individual demand estimates can fail when the purchase is shared. The question transfers to education, housing, insurance, and business software whenever the person receiving the benefit does not control the budget.

4 Stocks and flows explain misleading sales movements

Purchases add to household inventory; consumption draws it down. A sales spike can move timing rather than increase use. The same logic applies to retailer inventory and manufacturer sell-in. Determine which stock and flow the data actually measure before explaining the change.

5 Cohort composition can masquerade as behavioral deterioration

If a campaign attracts more low-repeat buyers, aggregate retention falls even if earlier loyal customers behave as before. Compare like with like across acquisition conditions. This protects the analysis from blaming product or messaging for a change in who entered the business.

6 Averages can conceal different jobs and economics

Premium is an aggregation of variants; young adults are an aggregation of situations; gross margin is an aggregation of realized economics. Split only where the distinction can change a decision. Excessive segmentation without sufficient evidence creates false precision rather than insight.

7 Incrementality depends on the counterfactual

Ask what would have happened without the activity. A discounted Premium purchase might replace Basic, another Premium purchase, a sibling brand, or no purchase. Each has different value. Reported revenue is observable; incremental contribution requires a credible comparison.

8 Measures should follow the claimed mechanism

If the mechanism is better variant fit, measure selection and relevant experience. If it is easier access, examine availability and completed intended purchases. If it is social impact, examine the relevant behavior or health outcome. A convenient metric should not replace the outcome the argument actually promises.

9 Constraints can be physical economic institutional or self imposed

Finite budgets and substantiation requirements differ from an unclear shelf display or an internal target. Identify who can change the constraint and at what cost. Treating every limitation as fixed produces timid ideas; treating every limitation as easy to remove produces implausible ones.

10 A good hypothesis risks being wrong

An explanation becomes useful when a plausible observation could weaken it. If every outcome is interpreted as proof that customers need more education, the idea is insulated from evidence. State the strongest rival and the discriminator before becoming attached to the explanation.

Misconceptions worth discarding

High brand awareness does not establish willingness to upgrade. High margin percentage does not establish high incremental profit after commercial costs. Digital discovery does not establish a digital purchase. A trial purchase does not establish regular-price repeat. Reported no difference does not establish objective equivalence. A small pack does not necessarily improve ongoing value. Poor oral health does not prove Premium is the appropriate commercial or clinical answer.

The whole-Gen-Z population is also not the addressable target of independent 18–to-30–year-old Premium buyers. Online official-store share is not national all-channel market share. A brand's stated purchase consideration is not market share. Keep every impressive number attached to its actual denominator.

10 Questions and exercises for developing your judgment

Questions an experienced business leader would ask first

1. What has actually deteriorated: revenue volume realized price penetration repeat contribution or only share of sales?
2. Which variants channels cohorts and purchase situations explain the change?
3. What did former Premium buyers choose at their last replacement and why was that choice better for them?
4. How much demand survives without deep discounts?
5. What does Basic do sufficiently well and for whom is that a rational final choice?
6. Who uses chooses and pays for the product in the households we want to influence?
7. Are we observing a failure of relevance selection experience affordability availability or measurement?
8. Which explanation would change the decision most if it were true?
9. What observation would make us abandon our preferred explanation?
10. How much growth is incremental to Pepsodent to Unilever and to the category?
11. Which social outcome could improve and what would demonstrate that improvement?
12. What must be true economically and operationally before an appealing concept can create value?

Exercise 1 Turn an obvious statement into a discriminating hypothesis

Start with young consumers want affordable quality. Its opposite is implausible, so it identifies little. Add the decision situation: young independent purchasers who tried a discounted 100g Premium tube may reject the regular-price replacement because the larger Basic tube reduces recurring spending. Now ask whether the change occurs mainly at the second purchase and whether it persists among people who recognize a relevant benefit.

The improved statement names a customer, an occasion, a comparison, and evidence that could weaken it. It still needs testing. The lesson is precision, not a requirement to make every finding surprising.

Exercise 2 Tell two different stories from the same observed behavior

Observed behavior: a consumer buys Premium once and then Basic. Story A is that the promised outcome disappointed them. Story B is that the product helped, the immediate need receded, and they returned to routine Basic use. Write the evidence that distinguishes the stories before considering an intervention.

Then add a third story: the consumer buys Basic for the household while continuing to use previously stocked Premium personally. The Basic transaction is real, but the sequence overstates complete abandonment of Premium. This exercise trains you to separate an observed purchase from the use and preference inferred from it.

Exercise 3 Check the economics before believing the growth claim

Suppose an activity generates 1,000 additional Premium purchases. List what you need before calling that profitable: realized manufacturer revenue, relevant costs, the purchases displaced, promotion funding, acquisition cost, and subsequent behavior. Avoid inventing values. Identify which unknown could reverse the conclusion most easily.

Now distinguish a purchase brought forward, a Basic buyer trading up, an outside competitor's buyer switching, and an existing Premium buyer receiving an unnecessary subsidy. The same reported purchase count can conceal very different business outcomes.

Exercise 4 Read a customer episode without stereotyping the customer

Take one fictional portrait from Section 4. Write the most persuasive rival explanation. For the first jobber, could poor experience rather than budget explain the switch? For the shared household, could the partner actually value the benefit too? Replace assumptions about age or lifestyle with questions about the last actual decision.

The goal is to become curious about the customer's trade-off rather than treating the person as a target to persuade. A sound strategy begins by understanding why the current choice makes sense to them.

The diagnostic position to hold before solutions

The case supports serious investigation of the Premium value proposition, especially perceived equivalence, price, trial experience, promotions, and variant fit. It does not yet identify one proven root cause. The distinctive hypotheses expand the possible mechanisms without increasing certainty.

Before selecting solutions, establish whose decision is changing, at which occasion, why the alternative wins, and whether changing that mechanism can create incremental commercial and social value. That is the bridge from business intuition to a defensible strategy.

Sources and evidence boundaries

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The company's current public reporting includes periods after the case's H1 2026 endpoint. Those later results are not used to explain the earlier case. General business mechanisms and all fictional customer episodes remain analytical reasoning unless explicitly tied to case evidence or an external source above.